

COSTAR GROUP INC CSGP

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by

AZA0601

2026 2027

Price:	32.51	EPS	0	0
Shares Out. (in M):	408	P/E	0	0
Market Cap (in \$M):	13,300	P/FCF	0	0
Net Debt (in \$M):	-300	EBIT	0	0
TEV (in \$M):	13,000	TEV/EBIT	0	0

Description

Situation Overview

For those not familiar with the name, CoStar ("CSGP") is a \$13bn Enterprise Value (slightly net cash balance sheet) commercial real estate ("CRE") data monopoly. In simple terms, over the last 40 years, CoStar has sent researchers out to physically inspect, photograph, measure, and now (after acquiring Matterport) 3D virtually render buildings. CoStar assembles the combined data into an easy-to-use, highly recurring, and mission critical (in CRE) software database with hundreds of statistics per property. Brokers, owners, property managers, buyers, and lenders cannot do their jobs without it and there is virtually no competing product. Around that founding core, CoStar has appended LoopNet (CRE listings and marketing), Apartments.com (rental marketplace; #1 national market leader; StreetEasy for those in New York), Homes.com (single-family home buying marketplace), Matterport (3D rendering enabling virtual tours of properties), Domain (#2 Australian residential portal), OnTheMarket (#3 UK residential portal), Zonda (new home construction data and marketplaces), STR (global hospitality benchmarking) and Ten-X (CRE online auction). The Commercial segment and Apartments.com represent the core of the business (~90% of revenue), while Homes.com (~2% of '25A revenue) represents the bear thesis here. Confirming that ~2% of revenue is not a typo.

As a brief history, CEO Andy Florance founded the business in 1987 in his dorm room (he was lab partners with Jeff Bezos at Princeton) and has run it for ~40 years, making him one of the longest-tenured CEOs in the S&P 500. Until a year or so ago, many would have considered him a Hall of Fame CEO. Looking at the breadth of what he built at CoStar, I still view in this light.

CSGP IPO'd on the Nasdaq in 1998 with ~\$8mm of revenue and reached operating breakeven in 2003. Since then the company has assembled an end-to-end real estate audience and applied CoStar's subscription monetization model to the added pieces (LoopNet in 2012, Apartments.com in 2014, and since 2020 an attempt to do the same thing in US residential through Homes.com).

In recent years, CoStar has become a complicated story for investors. Business performance has been solid on the top line and challenged on the bottom line. Revenue has grown from \$1,944mm (2021) to a guided \$3,735mm (2026) at ~14% annually, while Adj. EBITDA went from \$647mm to \$241mm in 2024 and back to a guided \$800mm in 2026. The key driver has been S&M, which went from 32% of revenue to 50% and back to 48%. Underneath all of that, the Commercial segment (*the company is split into Commercial and Residential*) did \$1.8bn of revenue in FY2025 at a 38% Adj. EBITDA margin, and holds ~90% share of its core market, 89% contract renewal rate (95% for customers of five years or more), and material pricing power.

I had initially assumed CoStar was a cyclical name that traded with the real estate cycle. On closer inspection, that is plainly wrong. In 2008, CoStar grew revenue 20% YoY and in 2009, revenue declined only 2% (before recovering to 5% and 15% growth in 2010 / 2011, respectively). As the business has scaled and become more dominant, revenue has become even less sensitive to the macro and real estate market. The company grew 19% in 2020, 17% in 2021, 12% in 2022, 13% in 2023, 11% in 2024, and 19% in 2025. Florance put the criticality of the product well on the Q3 2008 call: "People forget *that over the decades, these businesses [real estate brokers] don't go anywhere. They go public. They go private. They go public again. They go private again. They still have thousands of brokers that spend hours each day inside of our terminals. **So whether or not those brokers are at Company A or Company B, they still use our products. And if their income goes down 30%, they still use our products. And when they're making no money, they still use our products. When they're in bankruptcy, they still use our products. It's been pretty stable inside the brokerages.** Folks have been commercial brokers for 25 years of their life and they're in the top 10% of the industry don't stop being brokers because of a downturn. And remember, the brokers often make good money in downturns because they move all the tenants out of the B buildings into the A buildings that are sitting vacant and they move all the tenants out of C buildings into the B buildings that are then standing vacant and they play musical chairs with the industry until the next recovery comes.*"

Despite the business strength, CoStar has traded down ~64% over the last twelve months with investor focus almost entirely on S&M and homes.com. Equity value has declined from ~\$40bn in August 2025 to ~\$13bn today. Activist funds (Third Point and D.E. Shaw) ran campaigns through 2025 and 2026 demanding Homes.com be divested or shut. Management refused to divest but conceded on essentially everything else. The board was reconstituted with three new independent directors, CoStar published a Homes.com spending reduction schedule, the company initiated the first buyback in its history and has repurchased ~\$1.1bn since (Andy Florance has also been active personally in the open market buying shares), and the company compensation plans have been restructured to focus on TSR, EPS, and more quantitative metrics. Despite positive momentum and an upcoming business inflection, Third Point liquidated its position in Q1'26 rather than escalate. Over the last year, other managers have sold or exited as well (Principal Financial, MFS, Vulcan, Tiger Global, and Viking among them), with some stating in writing that they were selling on capital allocation policy rather than on the earnings power of the business. While Homes.com has been a misstep, the share price decline has been materially exacerbated by the technical pressure of these sales and, less acutely, by AI concerns in the core business that I view as unfounded. In Third Point / D.E. Shaw's letters, they highlighted ~\$4bn of wayward spend on Homes.com to date. Management has committed to decreasing spend \$300mm in '26 and \$100mm annually thereafter before hitting profitability in late '29 / '30. Against ~\$4bn of sunk spend and \$1-2bn of maximum forward losses, a marquee asset has lost ~\$25-30bn of equity value.

Altogether, I believe that 1) CoStar Commercial is one of the highest quality and lowest AI-risk assets in software, 2) the market is discounting Homes.com by several multiples of anything Homes.com can still cost; and the spend rolloff is committed, dated, and already showing up in reported numbers (Residential turned Adj. EBITDA positive in Q2'26 for the first time ever), 3) Apartments.com and the rest

of the residential portfolio are in the price at close to zero, 4) the share price decline has been largely technical rather than fundamental, and 5) stripping out Homes.com losses, you are buying the business at roughly a quarter of the NTM EBITDA multiple it has carried for most of the last two decades.

Investment Recommendation

1) Commercial Monopoly:

If you strip out residential, CoStar is a completely different company:

- CoStar's data asset cannot be replicated on any reasonable capital or time budget. CoStar runs what the 10-K calls "the largest commercial real estate research department in the industry," and has compounded that advantage for more than 35 years. A typical site inspection means photographing the building, capturing interior images and Matterport 3D tours (a very differentiated capability with limited peers), measuring it, geo-coding it and verifying tenants on the ground. No competitor has been willing to fund four decades of that, and there is no obvious reason one would start now
- CoStar's competitive position is strong enough that competitor CREXi is suing it on antitrust grounds. In June 2025, the Ninth Circuit revived CREXi's antitrust counterclaims, holding that CREXi plausibly alleged Sherman Act monopolization on ~90% share of CRE listing and information services
- Revenue is highly recurring, sticky and subscription-based. Contract renewal has consistently held at ~90%, and ~95% for customers of five years or more. Apartments.com renews at ~99% monthly
- CoStar's information is a mandatory part of being a real estate broker, acquirer, or property manager. Broker clients routinely ask to see the "CoStar report" when evaluating a purchase or lease. As a result, CoStar has taken price every year

2) The Discount Materially Exceeds the Potential Future Lifetime Cost of Homes.com:

The market has taken out ~\$25-30bn of equity value over twelve months on a business whose revenue grew mid to high-teens (high single-digit to low double-digit organically) over the same period, and the stated reason is Homes.com. So let's size Homes.com. In CoStar's January 2026 outlook, net investment was guided down from ~\$850mm in 2025 to ~\$550mm in 2026 and then continuing to decline by \$100mm+ annually, with revenue exceeding expenses exiting 2029 and positive Adj. EBITDA in 2030. This represents roughly \$1.5-2bn of remaining spend across '26-'29. Sunk cost to date has been ~\$4bn, putting total lifetime cost including the remaining spend at ~\$5-6bn. The drawdown is ~5x that, and ~20x what is actually left to spend.

The market is assigning Homes.com a large negative value despite the company already taking the necessary cost actions. Q2'26 S&M was flat YoY and operating expenses were up only 2%, driving >100% YoY growth in Adj. EBITDA and inflecting Residential Adj. EBITDA positive.

CoStar Group, Inc.
Results of Segments - Unaudited⁽¹⁾
(in millions)

	2025				2026	
	Q1	Q2	Q3	Q4	Q1	Q2
EBITDA						
Commercial Real Estate	\$ 103	\$ 118	\$ 114	\$ 145	\$ 127	\$ 162
Residential Real Estate	(104)	(89)	(101)	(16)	(46)	(5)
Total EBITDA	\$ (1)	\$ 29	\$ 13	\$ 129	\$ 81	\$ 157
Adjusted EBITDA						
Commercial Real Estate	\$ 151	\$ 161	\$ 183	\$ 177	\$ 161	\$ 172
Residential Real Estate	(85)	(76)	(69)	—	(29)	12
Total Adjusted EBITDA	\$ 66	\$ 85	\$ 114	\$ 177	\$ 132	\$ 184

⁽¹⁾ During the fourth quarter of 2025, we changed the composition of our segments from geography-based to product portfolio-based. We have recast certain prior period disclosures to align with new segments.

While I am supportive of rapidly reducing spend in homes.com, in a bull case it is not out of the question that CoStar ends up winning the battle for the residential home marketplace. The company has a better balance sheet, more predictable / stable / cash flow generative core business, and better leadership / global execution vs. market leader Zillow. Even so, I am not sure the prize is worth the effort. Unlike the proprietary data and resulting AI defensibility of CoStar and Apartments.com, residential has close to no proprietary data. All listings sit on the MLS (multiple listing services), private databases that Zillow and Homes.com both pull from and that AI is well suited to scraping. The business is also more cyclical.

3) Residential (ex. Homes.com) is Free:

In Q4'25, CoStar resegmented its business to fold Homes.com in with Apartments.com, and the market has responded by writing down the whole segment. This is a mistake. Apartments.com is the profit engine of the segment and a dominant asset. In the most recent quarter, revenue was \$318mm (+9% YoY) on 93,000 paid properties (+12%). On KPIs, the business reports 99% monthly renewals (the largest, most important properties / customers are perpetually advertising for tenants), NPS of 88, and 228mm engaged renter visits in the quarter. As a reminder, Apartments.com has been the most successful deal in CoStar history. The company was acquired for \$585mm in 2014 (6.8x \$86mm of '13A revenue) -- with some incremental bolt-ons and rapid organic growth it has grown to more than 10x the initial revenue figure.

Domain (~\$2.0bn purchase price), OnTheMarket (~\$100mm purchase price) and Zonda (~\$800mm purchase price; closed 8/21/26 and not captured in Q2 balance sheet) are incremental value drivers in Residential.

Taking FY2026 segment guidance at the midpoints (Commercial \$680mm, Residential \$120mm) and adding back the ~\$550mm of Homes.com net investment, Residential ex-Homes.com is running at ~\$670mm of Adj. EBITDA. CoStar has historically traded at ~40x NTM EBITDA driven by its Commercial segment's impenetrable moat, while relatively similar businesses trade today at ~20x (Verisk, MSCI, Moody's, S&P). Leading real estate portals (REA Group and Rightmove) trade in the low-teens to low-20s.

Applying 20x to Commercial and 15x to Residential ex-Homes.com, and conservatively subtracting every remaining dollar of Homes.com spend through breakeven (and no profitability thereafter), and you get ~\$54 per share (64% upside). As of Q2, Homes.com is at a \$116mm annualized run-rate growing ~65%. In an upside outcome it is not hard to see CSGP back at \$100 per share over the next few years as the Commercial moat is reaffirmed, ex-Homes.com residential continues to grow rapidly, and Homes.com flips to profitability (or profitability becomes tangible / near-term). *See below for illustrative valuation scenarios.*

Summary Valuation					
	Today (Consensus)		Base Case	Upside Case	Downside Case
'26E Commercial EBITDA			\$680.0	\$700.0	\$650.0
EV / EBITDA			20.0x	40.0x	15.0x
Commercial TEV			\$13,600.0	\$28,000.0	\$9,750.0
'26E Residential EBITDA (ex. Homes.com)			\$670.0	\$700.0	\$650.0
EV / EBITDA			15.0x	20.0x	12.0x
Residential (ex. Homes.com) TEV			\$10,050.0	\$14,000.0	\$7,800.0
Remaining Homes.com Losses			(\$2,000.0)	(\$1,000.0)	(\$5,000.0)
Enterprise Value	\$13,119.8		\$21,650.0	\$41,000.0	\$12,550.0
(-) Net Debt	266.0		266.0	266.0	266.0
Equity Value	\$13,385.8		\$21,916.0	\$41,266.0	\$12,816.0
Diluted Shares Outstanding	408.0		408.1	409.1	408.0
Share Price	\$32.81		\$53.70	\$100.86	\$31.41
<i>Blended EV / EBITDA (Incl. Homes)</i>	<i>16.4x</i>		<i>27.1x</i>	<i>49.4x</i>	<i>19.3x</i>
Premium to Current			63.7%	207.4%	(4.3%)

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Continued Residential margin inflection; next \$100mm+ step-down in Homes.com net investment
Homes.com revenue growth; market share alternative data figures
Strong core commercial margins
Execution of the remaining buyback authorization; Continued insider buying
FY2027 EBITDA guidance by segment

Messages

Subject	AI
Entry	08/26/2026 09:06 AM
Member	blaueskobalt
I only follow this stock very loosely, but I thought capital allocation/homes.com issues were more in the rearview mirror at this point, while the -50% YTD has much more to do with AI fears. Is that inaccurate?	
Subject	Re: AI
Entry	08/26/2026 11:59 AM
Member	AZA0601
I don't disagree that AI is a large factor here in the selloff. As the reasons for the selloff, I'd probably order it homes.com, the related puking of positions (many investor letters I've read mention the homes.com strategic trajectory as a driver), and then AI.	
AI is rapidly improving, and there are certain pieces of the company exposed (funny enough, I view homes as the most exposed aspect).	
However, the two core businesses with 90% of the revenue and more than all of the profit seem quite defensible and difficult to replicate. CoStar Commercial has built relationships with properties over 40 years, with a vast team of researchers as well as differentiated 3D virtual tour capabilities. They have people going property by property taking proprietary pictures, making proprietary 3D renderings, getting statistics (that brokers and property managers don't love sharing but do because of the necessity of access to the CoStar platform and because these relationship have built over decades). These brokers have tried building a competing product several times over the years and it always fails; cost investment splits, data sharing, revenue sharing, etc. have all been areas of contention.	
Apartments.com probably has less AI defensibility but still feels pretty difficult to compete with. There is no centralized provider of available rental locations and you are going to again need to go property by property understanding capacity. I view the 3D rendering capabilities again as a tremendous edge, and the acquisition of Matterport may prove to be transformative for the company. I just moved apartments and given the limited free time we have, was largely disinterested in evaluating a property that I could not largely make a decision on virtually (which necessitated doing a 3D virtual tour).	
Would love to hear from those who have been around the name longer.	
Subject	Re: Re: AI
Entry	08/26/2026 12:53 PM
Member	JackBlack
I've followed this one for over a decade and will offer counterpoints to your bull case in the spirit of productive debate. I want to like this one due to the underperformance, but there are legitimate issues:	
1) Your assumed Base Case multiples simply look too high when a) Apartments.com has an aggressive competitor that is showing signs of winning in the marketplace, b) AI appears to present a real risk to aggregator businesses like Apartments.com, and c) the Commercial business isn't growing that quickly anymore and appears to have run out of pricing power. Your Downside Case multiples look more reasonable to me, and those imply the stock is roughly at fair value.	
2) Homes.com is a clear loser—even if you believed that the business model were differentiated enough from Zillow to carve out a place in the market, AI risk came in and destroyed aggregator multiples (e.g. Z, CARG, CARS, NRDS)—yet Andy continues to not only incinerate significant organic dollars but also pursue large acquisitions in the space (e.g. Zonda). Contrary to blaueskobalt's take, I think the Zonda deal brought the Homes.com/capital allocation debate back to the forefront.	
3) This is almost a single-metric stock right now. Bookings are driving the multiple, and bookings have consistently been weak/missed.	
4) On capital allocation broadly, CSGP has squandered its enormous cash pile on acquisitions of bad assets in foreign geos and buybacks at much higher prices. Is there any indication that the board is reining in Andy? If so, I don't see it.	
5) The CFO just left to be CFO of ALL. ALL is near its all-time high and is obviously overearning (see the VIC write-up on ALL from a year ago), while CSGP is near a 10-year low. I never liked him, but he obviously didn't believe in the CSGP stock or he wouldn't have bolted for the ALL job.	
Subject	Re: Re: Re: AI
Entry	08/26/2026 05:20 PM
Member	AZA0601

Thanks JackBlack, appreciate you dropping in thoughts as someone who has covered the name a lot longer than me. Sending across how I have been thinking about some of your items below:

5) Even assuming ALL is overearning and CSGP is at local lows, it's hard to fault a CFO for moving from a \$13bn market cap company to a \$60-70bn company. His base / bonus target / equity target at CSGP was \$600k / \$600k / \$4.1mm (options out of money; stock units have traded down) and at ALL it will be \$875k / \$1.75mm / \$3.3mm. He is also getting a sign-on of ~\$6mm (2 cash / 4 equity) as compensation for forfeited units. To me, this seems like a step-up that you would expect most CFOs to take, and I would think he should do better financially at ALL in most scenarios.

2 / 4) I'm in alignment on both of these (as I am sure most investors are). Homes.com is likely an errant mission into an industry that is in the direct sights of AI capability. Zonda does represent more capital in this direction but is probably more accretive to the overall CSGP platform by expanding the end-to-end data breadth (which is more valuable / defensible in an AI world). Overall, I probably have a bit more trust in AF's instincts (which have proven to be correct against consensus / critics in the past; e.g., Apartments.com), but I would be squarely content with him shutting down the home thesis today.

I think an interesting angle would be a corresponding short of Zillow, which is almost entirely in scope of AI and has traded down by similar % levels to CoStar this year (despite being materially more at risk and lacking comparable cash flow generation). I think a Zillow short is very interesting (both as a paired trade with this long or a standalone investment). Zillow further faces headwinds from the potential long-term shift on buyer agent fee structure after the NAR anti-trust settlement.

I am doubtful that the Board will reign Andy in even after the three independents were added. Despite only LSD % ownership, this is his company, and an investment in CoStar is (and has been for a while) a belief in his management direction. At the same time, he has made positive changes since the activists got involved, and I expect him to be active on the share repurchasing side as he has been the last couple quarters (for the first time ever). He believes in the company, and I appreciate that he is putting his own money at stake with insider buying.

1) On Apartments.com, I am a bit skeptical on Zillow's right to win in rentals. With an eroding core business (home-buying), limited free cash flow generation, a weakened equity, and a history of operational miscues, a strategy of massive discounting / price competition feels unlikely to be successful. While the near-term will be lumpy and Apartments.com may have a few quarters of more tempered growth, long-term a more stable balance sheet and core business should serve as the engines to drive overall winning in the rental business. Both Matterport and the broader data business provide benefits that should be long-term winning elements for CoStar over Zillow. Andy has also outlined homes.com benefit as the lead syndication partner for apartments.com today; this is likely multiples more prevalent at Zillow (given that both are under the Zillow umbrella). In a world where aggregation of the residential marketplace shifts to AI, this will have a disproportionately negative impact on Zillow. Zillow has been dealing with a bunch of lawsuits at the moment, which should be also impact focus / competitive intensity. The copyright infringement suit with CSGP represents a real issue and has precedent; CoStar won a judgement vs. Xceligent years ago (probably more flagrant abuses) and the company filed for bankruptcy.

On commercial, the channel checks I have done still indicate that the product remains a must-have and should be able to take pricing over time (maybe a bit slower than historically). The business is still comfortably growing HSD with [smaller] areas of much faster growth (LoopNet, International, Debt Solutions). Ten-X has been a drag on growth, so restructuring that should also improve the headline numbers.

3) Yeah, agreed this has been disappointing. The business is a bit lumpy / seasonal, so would like to see a few more quarters play out. I think a couple really strong quarters of bookings would see the name re-rate significantly (as you mention, this is where investors' eyes are).

Subject	Re: Re: Re: Re: AI
Entry	08/26/2026 06:18 PM
Member	JackBlack

Agree on Z short. You can read my short thesis on VIC from last year, which continues to play out.

I thought Andy's recent buys were good until I saw how much he gets paid. These investments are still pretty meaningless in comparison to what he has taken home.

We agree that if bookings inflect, this stock will rip higher. Do you have any idea if/when that will happen?

Appreciate the debate!

Subject	Re: Re: Re: Re: AI
Entry	08/27/2026 01:41 PM
Member	coyote

On Apartments.com, I am a bit skeptical on Zillow's right to win in rentals. With an eroding core business (home-buying), limited free cash flow generation, a weakened equity, and a history of operational miscues, a strategy of massive discounting / price competition feels unlikely to be successful. I think having home purchases/sales and rentals under the same hood makes much more sense. In almost any other country where the sales and rental markets have significant scale, supply for both is under the same brand. The US is the exception.

On top of that, Zillow has the long-tail upper hand, and while Apartments.com has the upper hand in multifamily, Zillow is growing far more also in multifamily. In the same fashion that in the paragraph above, makes no sense to me to go in the future to a place with predominantly multifamily properties, when in Zillow you will have the larger supply. I do not think of renters splitting their minds between "multifamily" or "single family". They just want a rental property.

Concerning the economics, agree Zillow economics are poor. But large traffic levels makes it can capture the long tail far more economically than Apartments.com. In other words, I think it is far more sensible that Zillow succeeds at Apartments.com core space (multi, and we are already witnessing that) than Apartments moving successfully to Zillow long-tail arena.